

WACHEMO UNIVERSITY
DEPARTMENT OF MANAGEMENT

Model Exit Exam

In what **order** do managers typically perform the managerial functions?

- A. Organizing, planning, staffing, controlling, leading
- B. Organizing, leading, planning, controlling
- C. Planning, organizing, staffing, leading, controlling
- D. Planning, organizing, controlling, leading, staffing

ANSWER: C

The main task of this level of management is to determine the overall organizational objectives and strategies for their realization.

- A. Operational management
- B. Middle level management
- C. First line managers
- D. Top level management

ANSWER: D

Who is known as 'the Father of Modern Theory of Management'?

- A. Harold Koontz.
- B. Henry Fayol
- C. F.W. Taylor
- D. Max Weber

ANSWER: B

What is the guiding principle of scientific management?

- A. Experimentation
- B. Fluid working relationships
- C. Freedom of association
- D. One best way to do a job

ANSWER: D

What is **not** an assumption underpinning the rational decision making model?

- A. Incomplete information
- B. An agreed goal
- C. A structured problem
- D. High level of certainty regarding the environment

ANSWER: A

Organizing process includes one of the following:

- A. Grouping of activities
- B. Prescribing disciplinary action
- C. Determining objectives
- D. Prescribing work schedule

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ANSWER: A

Which one of the following is not an importance of staffing?

- A. Suitable division of work among employees
- B. Developing skills in employees
- C. Employee satisfaction
- D. Efficient use of human resources

ANSWER: A

When a manager monitors the work performance of workers in his department to determine if the quality of their work is 'up to standard', this manager is engaging in which function?

- A. Planning
- B. Controlling
- C. Organizing
- D. Leading

ANSWER: B

One of the following is not environmental factors that influence the organizations buying behavior.

- A. Objectives of the organization
- B. Level of demand
- C. Interest rate
- D. D. Social responsibility

ANSWER: A

If the customer's expectation is less than the actual performance of the product then the customers will be

- A. Satisfied
- B. Delighted
- C. Dissatisfied
- D. Not known

ANSWER: B

The bases of market segmentation which divides buyers into groups based on their knowledge of usage pattern and consumption of the product is

- A. Demographic segmentation
- B. Behavioral segmentation
- C. Geographic segmentation
- D. Psycho graphic segmentation

ANSWER: B

Which one of the following is not a factor that influences to determine a price for any product?

- A. Competitive reaction
- B. Distribution channel
- C. Promotion
- D. Number of employees

ANSWER: D

If a country's export is greater than its import, its trade balance is _____

- A. Deficit
- B. Surplus
- C. Deficit and Surplus at the same time
- D. Not Known

ANSWER: B

Which one is more polycentric and decentralized?

- A. Domestic Pricing
- B. Standard worldwide price
- C. Incremental cost pricing (marginal cost pricing)
- D. Market diffraction pricing strategy

ANSWER: C

Personal selling is similar to advertising in the sense that:

- A. Both aim to create sales and that both must be understandable, interesting, believable, and persuasive
- B. Both have similar communication process (i.e two way communication process)
- C. Both rely on non-personal means of contact and sales presentation.
- D. Both rely on personal means of contact & sales presentation.

ANSWER: A

International logistics decisions affect one of the following except:

- A. The number and location of production and storage facilities
- B. Production schedules
- C. Inventory management
- D. The firm's level of involvement in domestic markets

ANSWER: D

Suppose the Japanese importer has made a contract with an Ethiopian coffee exporter under International commercial term called EXW-works. Under this term:

- A. The selling price of coffee includes the main carriage transportation cost
- B. The importer bears more responsibility
- C. The exporter bears more responsibility
- D. The importer bears less responsibility
- E. The term is applicable only for sea transport

ANSWER: C

Which one is correct about CFR terms of trade?

- A. The point used for quotation is usually the port of export
- B. The price includes local delivery and loading
- C. This term does not include the cost of loading
- D. The price generally includes the cost of transportation to the named point of debarkation

ANSWER: D

Goods are shipped without a document calling for payment, other than the invoice. This type of payment is referred as:

- A. Bill of exchange (draft)
- B. Open account
- C. Consignment
- D. Cash in advance

ANSWER: B

The effectiveness of Publicity is determined by:

- A. The number of news releases
- B. Sales inquiries and changes in the attitude or response pattern of the public
- C. The number of publication space and air time generated
- D. The number of advertisement releases

ANSWER: B

‘Overseas product exhibitions’ are the best example of :

- A. Sales promotion
- B. Advertising
- C. Publicity
- D. Personal selling

ANSWER: B

A Company fixes a very attractive price and owns conveniently located distribution outlets when it follows

- A. Production concept
- B. Social marketing concept
- C. Product philosophy
- D. Marketing concept

ANSWER: A

Which one of the following **is not** related with operative functions of human resource management?

- A. The process of planning pertain to formulating strategies of personnel programs & changes in advance that will contribute to the organizational goals.
- B. The process of study & collection of information relating to the Role & Responsibilities of a specific job.
- C. The process for determination & assuring that the organization will have an adequate number of qualified persons, available at proper times, performing jobs
- D. The process of imparting to the employees technical & operating skills & knowledge.

ANSWER: A

Identify the importance of Human Resource Management from employees point of view

- A. The performance of the company depends upon the qualities of the people employed.
- B. Good human resource practices help in attracting & retaining the best people in the organization.
- C. It offers excellent growth opportunities to people who have the potential to rise.
- D. Good HR efforts lead to productivity gains (ration of output to input) to the society

ANSWER: C

The argument here is that if people are the key to competitive advantage, then we need to build on our people strengths. Logically, then, as the potential of our employees will undoubtedly affect the achievement of any planned strategy, it would be sensible to take account of this in developing our strategic direction .which model of Human Resource Management best express this model

- A. The separation model
- B. The fit model
- C. The holistic model
- D. The HR-driven model

ANSWER: D

Which one of the following is mismatched?

- A. Job Analysis: is a process of collecting information about a job
- B. Job Description :- A statement contains Job title, Location, Job summary, and Duties
- C. Job evaluation : provides information on the human attributes in terms of education
- D. Job Specification:- A statement of human qualification necessary to do the job

ANSWER: C

Which type of compensation is performance-related remuneration paid with a view to encourage employees to work hard and do better?

- A. Allowances
- B. Fringe Benefits/Perquisites
- C. Wage and Salary
- D. Incentives

ANSWER: D

One of the following **is not correct** about the difference between Selection and recruitment.

- A. Selection is the process of prospecting whereas Recruitment is comparison and choice of candidates
- B. Recruitment technically precedes selection process.
- C. Recruitment involves identifying the source of manpower whereas selection is the process of choosing
- D. Recruitment is positive function but Selection is negative function as it reject at different steps

ANSWER: A

Which of the following is the correct step of performance appraisal process?

- A. Establishment of performance standards--communicate expectations with employees--comparison of actual performance with standards--initiation of corrective action when necessary--measurement of performance
- B. Establishment of performance standards---communicate expectations with employees--measurement of performance--comparison of actual performance with standards--initiation of corrective action when necessary
- C. Communicate expectations with employees--measurement of performance--establishment of performance standards--- comparison of actual performance with standards--initiation of corrective action when necessary

- D. Initiation of corrective action when necessary---Communicate expectations with employees--measurement of performance-- establishment of performance standards--- comparison of actual performance with standards.

ANSWER: B

Identify incorrect statement about grievance

- A. A grievance is spoken or written dissatisfaction brought to the attention of the supervisor or the shop steward
- B. A grievance is a formal dispute between an employee and management on the conditions of employment.
- C. Grievances are complaints that have been formally registered in accordance with the grievance procedure.
- D. A grievance is any dissatisfaction or feeling of injustice in connection with one's employment situation that is brought to the attention of the management

ANSWER: A

OB has three basic unit of analysis (individual, group and organizational level), which one is best match with this statement?

- A. In individual level analysis one can understand People are not static, acting the same in all situations, but instead are ever changing and flexible by studying personality
- B. With the help of perception, the needs of various people can be determined, because people's perception is influenced by their needs
- C. Ob and management principles are not contingent on one another
- D. The sum total of challenges in the group is greater than the sum total of individual
- E. All are true

ANSWER: C

One is true Related with individual level of analysis

- A. In learning process, those periods of no apparent change in behaviour is called the 'incubation period'
- B. Perception is the person's actual feeling or way of thinking about something or someone based on their perceptions.
- C. A child does not learn to walk and do not learn to eat or drink because it is biological
- D. Value is a broad preference of what out to be and what is wrong and right in our life

ANSWER: B

All are reasons for a group to be effective **except**

- A. Civilized
- B. Open
- C. Consensus
- D. Formality

ANSWER: D

The field of organizational behavior has generally moved away from the needs (content) theories of motivation and interested in process theories because;

- A. Content theories do not explain why or how motivated behavior occurs.
- B. Needs theories are content-oriented - that is, they explain what the causes are leading to motivated behaviors.
- C. Process-based theories to motivation are concerned with how motivation occurs.
- D. Process theories are not focus on why people choose to enact certain behavioral options to fulfill their needs and how they evaluate their satisfaction after they have attained these goals.

ANSWER: D

Which one is true about culture and diversity?

- A. Since Diversity is barrier for the organizations effectiveness avoiding it is the best solution
- B. Taught culture to people who join the organization is not much necessary to build culture
- C. The ultimate goal of creating organizational culture is to create stable organizational culture
- D. Culture helps create commitment to something larger than an individual's self-interest.

ANSWER: D

Mr.' Z" is always going out of his way to build his image about himself about the good things he has done in the past and he acquire power in organization this refers to?

- A. Cooptation
- B. Blaming& attacking
- C. Creating favourable impression
- D. Reciprocity

ANSWER: C

Creating effective communication system in the organization helps to;

- A. Build trust
- B. Resolve conflict
- C. Increase flow of information
- D. Decrease employees motivation

ANSWER: B

This is a conventional distinction made between managers and leaders.

- A. Managers maintain while leaders develop
- B. Managers innovate while leaders administer
- C. Managers inspire while leaders control
- D. Managers originate while leaders imitate

ANSWER: A

Contingency theories of leadership based upon:

- A. That there is no single style of leadership appropriate to all situations
- B. That there is a single style of leadership appropriate to all managers
- C. That there is a single style of leadership appropriate to all situations
- D. That there is no a single style of leadership appropriate to all managers

ANSWER: A

Transactional leadership has which of the following characteristics?

- A. Takes the view that rewards and punishment motivate staff.
- B. Seeks to ensure staff understand issues facing the organization
- C. Seeks to involve staff in the decision making process.
- D. Believe success arises from leaders and staff working together

ANSWER: A

Which one of the following is **not** sign of indirect resistance?

- A. People tell you their real concerns
- B. People ask for more and more detail
- C. Continually assert a rigid timetable
- D. They are not able to find a good time to implement

ANSWER: A

Which of the following is/ are not direct method to solve intergroup conflicts?

- A. Problem solving
- B. Domination by the management
- C. Removing key figures in conflict
- D. Persuasion

ANSWER: D

Which one is NOT true about entrepreneurship?

- A. It is the process which involves identifying opportunities in the market place
- B. It is the processes through which individuals become aware of business ownership
- C. It is the process of creating something different and better with value
- D. It is a process of creating of business and wealth by usual way.

ANSWER: D

All are the basic objectives of a business plan: Except

- A. It identifies the nature and context of the business opportunity.
- B. It presents the approach the entrepreneur plans to take to exploit the
- C. It identifies the factors that will most likely determine the failure of the venture.
- D. It serves as a tool to raise financial capital.

ANSWER: C

Which one of the following is not true about corporation form of business organization?

- A. It is more difficult to set-up and manages due to greater requirements and heavier government scrutiny.

- B. Ownership can be easily transferred through stocks without consent of other shareholders.
- C. Shareholders' enjoy limited liability since the company is an independent legal entity
- D. Limited source of capital and restrained growth potential compared to a partnership

ANSWER: D

In which stages of new product development, idea of a new product is tested in potential consumer to determine consumer acceptance?

- A. Product development
- B. Market testing
- C. Concept testing and development
- D. Commercialization

ANSWER: C

The process of dividing the total market into relatively distinct homogeneous sub groups of consumers with similar needs or characteristics that leads them to respond in similar ways to a particular marketing program

- A. Market targeting
- B. Market penetration
- C. Market segmentation
- D. Environmental Scanning

ANSWER: C

A strategy that the firm seeks growth by pushing its existing products into new market segments.

- A. Market development
- B. Product development
- C. Diversification
- D. Market penetration

ANSWER: A

All are true about management information system **except**

- A. Modern management functions are information-oriented more popularly known as "*management by information*".
- B. Information, in MIS, means the processed data that helps the management in planning, controlling and operations.
- C. MIS means a system for processing data in order to give proper information to the management for performing its functions.
- D. In MIS the information is recognized as a major resource like capital, time and capacity but it is not important to reduce risk and cost.

ANSWER: D

Which one is the best match?

- A. Human resource information systems---- Auditing
- B. Marketing MIS----- Quality control and testing
- C. Financial information system----- Payroll data
- D. Manufacturing Information Systems----- Profit/loss and cost systems

E. Decision Support System---- the models and analytical tools
ANSWER: E

One is true about knowledge management

- A. Intellectual capital and knowledge-based assets less important for knowledge management
 - B. People are less important in creating and using knowledge
 - C. Explicit knowledge are Highly personalized
 - D. Knowledge originates and is applied in the minds of knowers
- ANSWER: D

_____ is an example of security

- A. Equity
 - B. Rights
 - C. Honesty
 - D. Managers are agents of the stockholders
- ANSWER: D

An organization's general expression of its overall purpose is known as its:

- A. Objective
 - B. Mission
 - C. Vision
 - D. Goal
- ANSWER: B

Which of the following does not include the characteristics of strategic management?

- A. Multidimensional
 - B. Systematic
 - C. Reactive
 - D. Dynamic
- ANSWER: C

Organizing means an identifiable group of people contributing their efforts towards the attainment of same goal. It is important at the time of?

- A. Environmental scanning
 - B. Strategy formulation
 - C. Strategy implementation
 - D. Strategy evaluation
- ANSWER: C

Which of the following defines what business or businesses the firm is in or should be in?

- A. Business strategy
 - B. Corporate strategy
 - C. Functional strategy
 - D. National strategy
- ANSWER: B

Strategy implementation is concerned with making decisions with regard to: -

- A. Developing an organizational structure to achieve the strategy.
- B. Recording the data
- C. Keeping the records
- D. Recording the financial transactions

ANSWER: A

One of the following **is not true** about Porter argument about the five competitive forces

- A. The weaker each of the forces it is disadvantage for established organizations
- B. A weak competitive force can be viewed as an opportunity for the existing org.
- C. A strong competitive force can be regarded as a threat for the existing org.
- D. Through strategy a firm can alter the strength of one or more forces to its advantages

ANSWER: A

What is the central purpose of strategic evaluation?

- A. Evaluate effectiveness of strategy to achieve organizational objectives.
- B. Evaluate effectiveness of control system to measure achievements.
- C. Evaluate effectiveness of strategies to be implemented efficiently.
- D. Evaluate effectiveness of the strategy implementation process.

ANSWER: A

Which of the following is not true about the project cycle?

- A. It serves to define the beginning and the end of a project
- B. It involves some form of technology transfer
- C. It starts with the identification of an idea
- D. Its descriptions are specific by its nature

ANSWER: D

Many of the most important projects in developing countries emerge from EXCEPT:

- A. Political commitments of national leaders
- B. As response to crises
- C. emergencies of external threats or to foreign government's policies
- D. Foreign countries' problem and interest

ANSWER: D

_____ indicates that projects are promising and further work to be justified.

- A. Preliminary screening
- B. Feasibility study
- C. Pre – feasibility study
- D. Identification

ANSWER: C

One of the following is true about financial evaluation of a project.

- A. The financial evaluation of a project is conducted using the accounting profit rather than the cash flow

- B. The financial evaluation of a commercial project involves the exclusion of all cash items.
- C. The accuracy of financial evaluation will ultimately dependent up on the identification of all relevant non-cash flows.
- D. The financial evaluation of non-commercial projects involve the identification of the most efficient way of delivering the desired projects out puts.

ANSWER: D

The profitability index (cost benefit ratio) of a project can be best evaluation criteria stated as?

- A. A project is acceptable if its PI is greater than one.
- B. A project is acceptable if its PI is less than one.
- C. A project is acceptable if its PI is greater than the internal rate of return (IRR).
- D. A project is acceptable if its PI is less than the net present value (NPV)

ANSWER: A

All are the characteristics of project financing except

- A. The component of equity is very high.
- B. Third parties commit to share the risk of the project.
- C. Project financier risks are entirely covered by the sponsors guarantee.
- D. Project financing is separated from the parent company's balance sheet.

ANSWER: A

Which of the following is the first step in starting the research process?

- A. Searching sources of information to locate problem.
- B. Survey of related literature
- C. **Identification of problem**
- D. Searching for solutions to the problem

ANSWER: C

Which of the following research is a form of research typically conducted by teachers, Counselors and other professionals to answer questions they have and they specifically help them solve local problems?

- A. Basic research
- B. **Action research**
- C. Predictive research
- D. Orientation research

ANSWER: B

A research proposal is best described as a;

- A. Framework for data collection and analysis
- B. Argument for the merit of the study
- C. Description of how the researcher plans to maintain an ethical perspective during the study
- D. **Description of the research process for a research project**

ANSWER: D

Hypothesis refers to

- A. The outcome of an experiment
- B. A conclusion drawn from an experiment
- C. A form of bias in which the subject tries to outguess the experimenter
- D. **A tentative statement about the relationship**

ANSWER: D

One of the following provides a rational approach to research enabling one to decide in advance what to do, how to do, in investigating the subjects.

- A. Execution of the Project
- B. Collecting data
- C. **Preparing research design**
- D. Determining the sample design

ANSWER: C

Which sampling method relies on arranging the study population according to some ordering scheme and then selecting elements at regular intervals through that ordered list?

- A. Simple random Sampling
- B. **Systematic Sampling**
- C. Stratified Sampling
- D. Cluster Sampling

ANSWER: B

Identify incorrect statement about functions of research report

- A. It serves as a reference material for future use in the same or related area.
- B. It serves as a means for judging the quality of the research project.
- C. **A research report is a document that presents a plan for a project**
- D. It provides systematic knowledge on problems and issues analyzed.

ANSWER: C

Of the following statement which one is not the characteristic of statistics?

- A. Statistics are enumerated or estimated according to reasonable standards of accuracy
- B. Statistics are collected in a systematic manner for a pre-determined purpose, and
- C. Statistics are placed in relation to each other.
- D. Statistics are not affected to a marked extent by multiplicity of causes

ANSWER: D

Which statement is NOT true about measure of central tendencies?

- A. The mean gives equal consideration to even very extreme values in the data
- B. Median tends to focus more closely on those in the middle of the data array
- C. There will be just one value for the mean and one value for the median. However, the data may have more than one mode.
- D. Quartile, deciles and percentiles are examples of central tendency

ANSWER: D

The approach of defining probability that is based on the assumption that all outcomes of an experiment are mutually exclusive and equally likely.

- A. Classical Approach
- B. Relative Frequency Approach
- C. Subjective Approach
- D. Random variable

ANSWER: A

It describes how the probability is spread over the possible numerical values associated with the outcomes.

- A. Probability distribution
- B. Frequency distribution
- C. Variance
- D. Standard deviation

ANSWER: A

One in which each member of the population has an equal chance of being selected.

- A. Probability sample
- B. Non-probability sample
- C. Quota sample
- D. Judgment sample

ANSWER: A

Which one of the following is not true about Hypothesis testing?

- A. The first step in examining claims is to form a null hypothesis
- B. The null hypothesis is assumed to be true unless we have statistically overwhelming evidence to the contrary
- C. Significance level is the chance of committing a type I error
- D. Rejecting a true null hypothesis is referred to as a Type II error

ANSWER: D

One of the following is not the properties of chi-square test?

- A. The exact shape of the chi-square distribution depends upon the number of degrees of freedom n .
- B. When n is small, the shape of the curve is skewed to the right and as n gets larger, the distribution becomes more and more symmetrical.
- C. The mean and variance of the chi-square distribution are n and $2n$ respectively.
- D. As $n \rightarrow 0$ the chi-square distribution approaches a normal distribution.

ANSWER: D

A statistical technique that can be used to develop a mathematical equation showing how variables are related.

- A. Simple Correlation
- B. Correlation Analysis
- C. Regression Analysis

D. Coefficient of variation

ANSWER: D

In one of the following mechanism the operation manager improves efficiency

- A. An increase in input while outputs remain constant
- B. An increase in output while inputs remain constant
- C. A reduction in output while increasing inputs
- D. A reduction in output while inputs remain constant

ANSWER: B

One of the following firm's competitive priorities is focus on ability to offer its customers a wide variety of products

- A. Delivery
- B. Service
- C. Flexibility
- D. Quality

ANSWER: C

Which product designing tool deal with products designed over a much broader range becomes less likely it will fail due to a change in the environment

- A. Modular design
- B. Robust design
- C. Computer aided design
- D. Manufacturing design

ANSWER: B

One of the following is not belongs the benefits of intermittent operations

- A. Higher product flexibility
- B. High product customization
- C. High initial capital investment
- D. More general purpose equipment

ANSWER: C

Which location option is used as a defensive strategy designed to maintain a market share or prevent competitors from entering a market?

- A. Expanding an existing facility
- B. Shutting down
- C. Addition new location
- D. Doing nothing

ANSWER: C

Which of these layout types is most associated with Mass production

- A. Cellular layout
- B. Product layout
- C. Fixed layout
- D. Process layout

ANSWER: B

Which one of the following planning refers the production portion business by showing product families?

- A. Aggregate capacity planning
- B. Material requirement planning
- C. Aggregate output planning
- D. Derailed capacity planning

ANSWER: C

Which quality definition approach states goods can be ranked according to the amount of the desired attribute they possess?

- A. User based approach
- B. Product based approach
- C. Manufacturing based
- D. Value based approach

ANSWER: B

Which one of the following does not the impact cost of capital?

- E. Riskiness of earnings
- F. Financial soundness of the firm.
- G. Interest rate levels in global market place
- H. None-riskiness of earnings

ANSWER: D

Which of the following is true about mutually exclusive project?

- A. Depending on the profitability and availability of the fund the firm can undertake both investments.
- B. The choice of one investment necessitate undertaking of an other projects
- C. If one investment is undertaken, the other will have to be excluded
- D. If one investment is undertaken, the other will have to be included

ANSWER: C

Which operations research model does not have an objective function as a part of the model to evaluate decision alternatives?

- A. Predictive model
- B. Descriptive model
- C. Deterministic model
- D. Probabilistic model

ANSWER: B

One of the following is **not true** about simplex algorithm

- A. Constraints are expressed in terms of equalities
- B. Right hand side values (RHSV) are non-negative
- C. Decision variables would be negative
- D. Unique solution is obtained if variables not exceed equations

ANSWER: C

Which special issue of linear programming will occur if there are no non-negative ratios for the quantity divided by substitution rates?

- A. Infeasibility
- B. Unboundedness
- C. Degeneracy
- D. Two incoming variables

ANSWER: C

The linear programming model of transportation problem is not characterized by

- A. Shipments are allowed between sources
- B. The supply and demand quantities are constant
- C. Transportation cost per unit is certainly known
- D. Goods are transported only from sources to destinations

ANSWER: A

In the Hungarian method of job assignment, if the minimum number of lines required covering all zeros is not equal to the number of rows

- A. Add the smallest element from each covered cell
- B. Subtract the smallest element that lies at the intersection
- C. Add the smallest element for each uncovered cell
- D. Subtract the smallest element from each uncovered cell

ANSWER: D

Which decision making under uncertainty criterion is focus on a table of losses rather than gains?

- A. Maximax criterion
- B. Minimax criterion
- C. Maximin criterion
- D. Laplace criterion

ANSWER: B

One of the following is false about project networking in operations research

- A. An event can occur twice
- B. Dummies introduced if it is necessary
- C. Avoiding arrows which cross each other
- D. The network has only one entry point

ANSWER: A

Which one of the following is among the reasons why financial analysts use ratios?

- A. To compare firm's past performance to present performance.
- B. To compare firm's results with a target
- C. To compare firm's performance against industry averages.
- D. To know the financial trend and performance of the organization

ANSWER: D

A series of equal payments or receipts occurring over a specified number of periods.

- A. Interest

- B. Annuity
- C. Future value
- D. Present value

ANSWER: B

Financial statement analysis serves the following purposes, except:

- A. To measure profitability.
- B. To indicate the trend of achievements.
- C. To assess the growth potential of the business.
- D. To measure Human resources capability and performances

ANSWER: D